

**ABI Statement of Best Practice
for Critical Illness Cover**

A Consultation Paper

June 2010

1. Background and Purpose of this Paper

- 1.1 The Statement of Best Practice for Critical Illness Cover (the 'Statement') was first published in 1999 following an Office of Fair Trading (OFT) report on health insurance. Its aim is to ensure that customers continue to get meaningful, understandable cover that meets their needs at an affordable price. We estimate that insurers have paid £933.5 million in critical illness claims for 2009 alone.
- 1.2 The Statement helps consumers in three important ways:
- **Security** – provides consumers with the safeguard that appropriate minimum standards of cover are used across the industry.
 - **Comparability** – makes it easier to compare critical illness (CI) insurance from different insurers.
 - **Clarity** – helps improve understanding about what each product does, and does not, cover.
- 1.3 The Statement is reviewed every three years to ensure that it continues to meet its objectives, and that the standard medical definitions and other provisions remain appropriate, for example, due to changing medical science, regulations or legislation. In each of these reviews, including this one, we have liaised with the OFT and FSA to ensure we meet legislative requirements.
- 1.4 This paper builds on the proposals emerging from the 2009 review and stakeholder workshop held in November 2009. The proposals are aimed at the individual market but comments are invited regarding their suitability in the group market.
- 1.5 At the review and stakeholder workshop last year, agreement was reached that the industry should re-name and develop standard wordings for what is currently called Total Permanent Disability (TPD) when included in critical illness cover, and produce educational materials to improve adviser and consumer understanding to support these new definitions.
- 1.6 The working group noted that, when based on physical activities alone, as in the two proposed new task-based definitions, TPD does not cover disability resulting from a mental health condition, other than in the most extreme cases. If a mental health definition becomes a feature of the market then we will look at producing a standard definition in future reviews.
- 1.7 Loss of Independent Existence (LOIE) has not been considered as part of this review as it is out of scope, but there is an overlap with TPD activities of daily living. It will be for individual firms to decide whether, and if so the extent to which, they align these definitions.
- 1.8 The proposed new name and all the definition wordings were informed by our consumer research and have been approved for consultation by the ABI Protection Development Committee.
- 1.9 It was also agreed to clarify the standard definitions for Cancer, Parkinson's Disease and Terminal Illness, and also to improve clarity by introducing a standard wording for the pre-existing conditions exclusion used in children's critical illness cover.

Objectives

- 1.10 Following on from this work, this paper has the following two objectives:
- To consult for a period of one month with insurers, reinsurers, distributors, trade bodies, consumer groups, regulators, medical professionals and other interested stakeholders on the following:
 - The proposed new name for TPD – "Irreversible Life-changing Disability".

- The proposed new standard definition wordings for TPD as set out in 2.2 below.
- To announce the final revised definition wordings for Cancer, Parkinson's Disease, Terminal Illness and the pre-existing conditions exclusion used in children's critical illness cover – these are set out in 3.1 and 3.2 below. Insurers are free to adopt these wordings from now on, or alternatively, may prefer to adopt them along with the other changes that will be included in the final revised Statement that we intend to publish in the Summer this year.

Consultation questions

1.11 The full list of questions for which we are inviting responses is as follows:

- Q1. Do you agree that the ABI Statement should stipulate that TPD should be replaced by Irreversible Life-changing Disability, within CI policies, in the format of the ABI standard definitions, as a minimum standard as part of best practice?
- Q2. Do you have any evidence to suggest that the proposed new name, "Irreversible Life-changing Disability", is unclear, misleading or should not be adopted?
- Q3. Do you agree that the proposals for Irreversible Life-changing Disability should apply to both individual and group business?
- Q4. Do you have any suggestions, supported where appropriate by relevant evidence, to improve any of the proposed standard definition wordings?

Replying to this Consultation Paper

1.12 A co-ordinated response from each firm is invited on this consultation document. Please send your responses to arrive by 30 June 2010 to Karen Evans, Protection Policy Adviser.

- Post: Association of British Insurers, 51 Gresham Street, London EC2V 7HQ
- E-mail: health@abi.org.uk

Implementation timetable

1.13 Following this consultation and taking into account the feedback provided, we aim to publish the revised Statement of Best Practice for Critical Illness Cover this Summer. At that time we will also publish an implementation timetable for insurers to adopt the revised provisions in the new Statement for new critical illness insurance business as appropriate. We intend to allow insurers twelve months to make any changes, and would encourage insurers to adopt the new Statement as soon as possible.

Future work

1.14 The Critical Illness Consumer and Definitions Guides will be updated to reflect the final changes. We will also publish educational material to support our proposals for Irreversible Life-changing Disability.

2. Our proposals for consultation

2.1 We propose that the replacement name for what is currently called Total Permanent Disability (TPD) should be “Irreversible Life-changing Disability”.

2.2 We propose the following headings and definitions for Irreversible Life-changing Disability:

- **Irreversible Life-changing Disability – unable [before age x] to do your own occupation ever again**

Loss of the physical or mental ability through an illness or injury [before age x] to the extent that you are unable to do all the essential duties of your own occupation ever again. The disability must be expected to last throughout life with no prospect of improvement, irrespective of when the cover ends or you expect to retire.

Your occupation means your trade, profession or type of work you do for profit or pay. It is not a specific job with any particular employer and is irrespective of location or availability.

For the above definition, disabilities for which the relevant specialists cannot give a clear prognosis are not covered.

- **Irreversible Life-changing Disability – unable [before age x] to do a suited occupation ever again**

Loss of the physical or mental ability through an illness or injury [before age x] to the extent that you are unable to do the essential duties of a suited occupation ever again. The condition must be expected to last throughout life with no prospect of improvement, irrespective of when the cover ends or you expect to retire.

A suited occupation means any work you could do for profit or pay taking into account your employment history, knowledge, transferable skills, training, education, experience and level of remuneration, irrespective of location or availability.

For the above definition, disabilities for which the relevant specialists cannot give a clear prognosis are not covered.

- **Irreversible Life-changing Disability – unable [before age x] to do any occupation at all ever again**

Loss of the physical or mental ability through an illness or injury [before age x] to the extent that you are unable to do the essential duties of any occupation at all ever again. The disability must be expected to last throughout life with no prospect of improvement, irrespective of when the cover ends or you expect to retire.

Any occupation means any type of work at all, irrespective of location or the availability of work.

For the above definition, disabilities for which the relevant specialists cannot give a clear prognosis are not covered.

- **Irreversible Life-changing Disability** – *unable [before age x] to do 3 specified work tasks ever again*

Loss of the physical ability [before age x] to do at least 3 of the 6 tasks listed below with no reasonable prospect of there ever being any improvement. The person must need the help or supervision of another person and be unable to perform the task on their own, even with the use of special equipment routinely available to help and having taken any appropriate prescribed medication.

1. **Walking** – the ability to walk more than 200 metres on level surface without stopping due to breathlessness or severe pain.
2. **Climbing** – the ability to climb up a flight of 12 stairs and down again, using the handrail if needed.
3. **Lifting** – the ability to pick up an object weighing 2kg at table height and hold for 60 seconds before replacing the object on the table.
4. **Bending** – the ability to bend or kneel to pick something up from the floor and straighten up again.
5. **Getting in and out of a car** – the ability to get into a standard saloon car, and out again.
6. **Writing** – the manual dexterity to write legibly using a pen or pencil, or type using a desktop personal computer keyboard.

- **Irreversible Life-changing Disability** – *unable [before age x] to look after yourself ever again*

Loss of the physical ability to do at least 3 of the 6 tasks listed below with no reasonable prospect of there ever being any improvement. The person must need the help or supervision of another person and be unable to perform the task on their own, even with the use of special equipment routinely available to help.

1. **Washing** – the ability to wash in the bath or shower (including getting into and out of the bath or shower) or wash satisfactorily by other means.
2. **Getting dressed and undressed** – the ability to put on, take off, secure and unfasten all garments and, if needed, any braces, artificial limbs or other surgical appliances.
3. **Feeding yourself** – the ability to feed yourself when food has been prepared and made available.
4. **Maintaining personal hygiene** – the ability to maintain a satisfactory level of personal hygiene by using the toilet or otherwise managing bowel and bladder function.
5. **Getting between rooms** – the ability to get from room to room on a level floor.
6. **Getting in and out of bed** – the ability to get out of bed into an upright chair or wheelchair and back again.

3. Final standard definitions

- 3.1 The following definitions are final and will replace the existing definitions in the Statement when it is published this Summer. Insurers are free to adopt these new definitions from now on.

Cancer – excluding less advanced cases

Any malignant tumour positively diagnosed with histological confirmation and characterised by the uncontrolled growth of malignant cells and invasion of tissue.

The term malignant tumour includes leukaemia, sarcoma and lymphoma except cutaneous lymphoma (lymphoma confined to the skin).

For the above definition, the following are not covered:

- All cancers which are histologically classified as any of the following:
 - pre-malignant;
 - non-invasive;
 - cancer in situ;
 - having borderline malignancy; or
 - having low malignant potential.
- All tumours of the prostate unless histologically classified as having a Gleason score greater than 6 or having progressed to at least clinical TNM classification T2N0M0.
- Chronic lymphocytic leukaemia unless histologically classified as having progressed to at least Binet Stage A.
- Any skin cancer (including cutaneous lymphoma) other than malignant melanoma that has been histologically classified as having caused invasion beyond the epidermis (outer layer of skin).

Parkinson's disease [*before age x*] – resulting in permanent symptoms

A definite diagnosis of Parkinson's disease [*before age x*] by a Consultant Neurologist.

There must be permanent clinical impairment of motor function with associated tremor, muscle rigidity and postural instability.

For the above definition, the following are not covered:

- Parkinson's disease secondary to drug abuse
- Other Parkinsonian syndromes

Terminal illness

A definite diagnosis by the attending Consultant of an illness that satisfies both of the following:

- The illness either has no known cure or has progressed to the point where it cannot be cured; and
- In the opinion of the attending Consultant, the illness is expected to lead to death within [*the earlier of*] 12 months [*and the remaining term of the cover*].

- 3.2 The following standard pre-existing conditions exclusion used in children's critical illness is final, and will be included in the Statement when it is published in the Summer.

[A claim will not be covered for children's critical illness cover if:]

- The child's condition was present at birth;
- The symptoms first arose before the child was covered; or
- The child dies within [28 days] of meeting our definition of the critical illness.